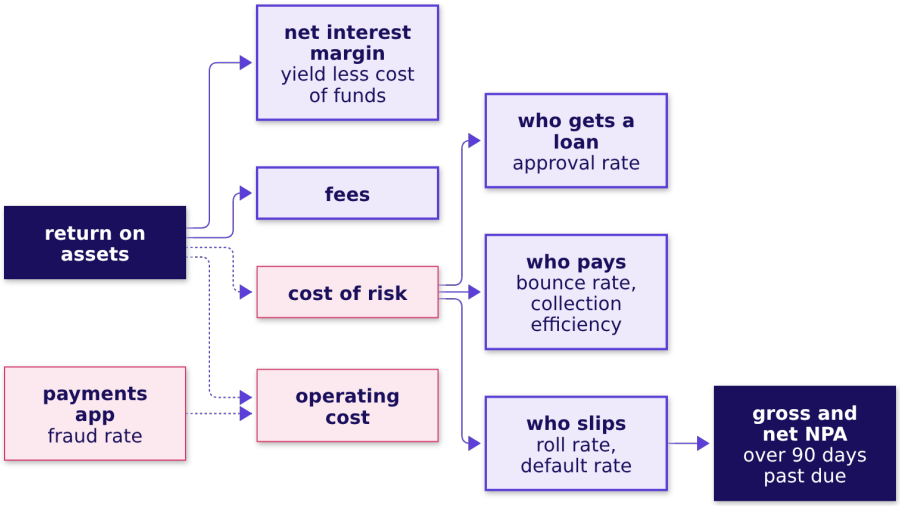
Financial services card: how does a lender earn, and how is each number worked out?

Lending and payments at Kalpa Financial, the domain of Build 2: the tree every number hangs off, ten formulas, twenty words and the rules that bind the data. Kalpa is fictional; the dossier carries the worked numbers and the sources, checked on 28 October 2026.

Which tree does every lending number hang off?



Return on assets = net interest margin + fees, less operating cost, less cost of risk. A default lands in cost of risk as money lent that does not come back; a good borrower turned away lands in the margin as interest never earned.

How is each of the ten metrics worked out?

Metric	Formula
Approval rate	Approved / applications decided
Bounce rate	EMI debits that failed / EMI debits presented
Collection efficiency	Amount collected / amount due in the month, arrears rule stated
Roll rate	Accounts moved to a worse DPD bucket / accounts in the earlier bucket
Default rate, by vintage	Loans of one month's batch at 90+ DPD within 12 months / loans in the batch
Gross NPA ratio	Loans over 90 days past due / gross loans
Net NPA ratio	(Gross NPAs less their provisions) / (gross loans less those provisions)
Cost of risk	Annual provisions and write-offs / average loan book
Net interest margin	(Interest earned less interest paid) / average interest-earning assets
Fraud rate	Fraudulent transactions / all transactions, by count and by value

Quote every rate with its base and its window. A default rate on a fast-growing book falls because young loans have not had time to default.

Which rules bind the data?

Rule	What the data team does
Fair practices: RBI NBFC conduct directions, 2025	Shows the KFS and APR before signing, writes in the borrower's language, and never harasses; recovery calls only in the permitted daytime window
Digital lending: RBI NBFC credit facilities directions, 2025	Takes only needed data, with explicit consent and an audit trail; never reads files, contacts or call logs; keeps data in India
Credit bureaus: RBI's four CICs	Reports every digital loan, fortnightly or more often
KYC: RBI NBFC KYC directions, 2025	Runs due diligence first and keeps records at least five years past the relationship
NPA: RBI NBFC IRACP directions, 2025	Labels NPA past 90 days, SMA-1 past 30 and SMA-2 past 60
DPDP Act, 2023, and Rules, 2025	States a purpose for each use, lets consent be withdrawn, answers requests in 90 days; penalties reach Rs 250 crore

Which twenty words should you say fluently?

Word	What it means
NBFC	A lender registered with RBI that is not a bank
AUM	All loans the lender holds and manages
EMI	The fixed monthly instalment
APR	Interest plus fees as one yearly rate
KFS	The Key Fact Statement shown before signing
Cooling-off	The first day or more in which a digital loan can be returned
Cost of funds	What the lender pays for the money it lends
NIM	Net interest income over the average book
Bureau pull	Reading an applicant's credit bureau history
Thin file	Little or no bureau history
Cut-off	The score below which the lender declines
DPD	Days past due since the missed EMI
SMA-1, SMA-2	Overdue more than 30 days, more than 60
NPA	Overdue more than 90 days
Cure	A late borrower back to current
Roll rate	Share of a bucket moving one bucket worse
Vintage	Loans disbursed in one month, tracked together
Provision	Money set aside for expected losses
Write-off	A loan removed from the books as lost
LSP	A firm doing part of the lending journey for the lender

Check the consent and the purpose of a column before it enters a model.